

REVENUE MEMORANDUM CIRCULAR NO. 1-2024 issued on January 9, 2024 directs all National Government Agencies (NGAs) to discontinue the practice using the electronic Tax Remittance Advice (eTRA) for payment of penalties.

The payment of the basic Withholding Tax shall be made through the eTRA System while the corresponding penalties, if any, shall be paid in cash thru the Authorized Agent Banks (AABs) or any payment facilities prescribed by the BIR.

The provisions of Section 247, Title X of the Tax Code of 1997, as amended, prescribe that, if the withholding agent is the Government or any of its agencies, political subdivisions or instrumentalities, or a government-owned and controlled corporation, the employee thereof responsible for the withholding and remittance of the tax shall be personally liable for the additions to the tax prescribed therein. As a supplement, Revenue Memorandum Order No. 8-2003 identified Heads of Offices and Chief Accountants or other persons holding similar positions officially designated as such by the head of office as equally liable in the settlement of the said penalties.

The Revenue District Offices (RDOs) and other concerned BIR offices are directed to strictly monitor the NGAs' compliance in the remittance of their Withholding Taxes with the corresponding penalties incurred, if any, due to late filing and payment on the part of the NGAs. Likewise, the said RDOs shall undertake the reversal/correction in the Integrated Tax System - Collection and Bank Reconciliation (ITS-CBR)/ Internal Revenue Integrated System - Collection Remittance and Reconciliation (IRIS-CRR) of penalties paid by NGAs thru eTRA. As such, payment of penalties using eTRA shall not be recognized as part of the RDO's eTRA collection until the said penalties has been collected and paid in cash thru the AABs or any payment facilities available in the BIR.